Mastercard MA

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by falcon44

			2026	2027
Price:	495.00	EPS	19.63	22.83
Shares Out. (in M):	893	P/E	25.2	21.7
Market Cap (in $M):	442,035	P/FCF	25.5	18.5
Net Debt (in $M):	9,306	EBIT	22,145	25,084
TEV (in $M):	451,341	TEV/EBIT	20.4	18.0

Description

Mastercard (MA) currently represents an exceptional risk-reward. The stock has fallen to roughly $495, about 18% below its 52-week high of $602 and within a few percent of its 52-week low, even as the underlying business has kept compounding earnings in the mid-teens. MA now trades at 18.7x our 2028 EPS estimate, 21.7x 2027, and 25.1x 2026, against a franchise that has spent most of the past decade north of 30x forward earnings and has grown EPS at a high-teens rate through multiple cycles. We are being handed one of the highest-quality compounders in the market at a multiple it has rarely seen outside of brief dislocations.

As best we can tell, the sell-off has been driven by fund flows and sentiment rather than any deterioration in the franchise. MA has underperformed due to death by a thousand cuts de-rating the multiple rather than any fundamental threat that has caused an actual downgrade in forward earnings estimates.

- MA and Visa have been over-owned relative to their S&P 500 weights since 2010, and the unwind of that crowding, alongside a rotation into banks that screen cheap on a steeper curve, has caused a de-rating.
  - Mastercard's active over-ownership has compressed to roughly 68bps above its index weight, below its 87bp five-year average and near the low end of its history, according to recent Morgan Stanley analysis (6/4/26 report).
- The market is overly concerned that MA is an “AI loser.” Concerns are that agentic commerce, stablecoins, and account-to-account rails will disintermediate the networks.
  - Card networks are close to undisruptable in our view. They clear transactions in milliseconds at 99.9999% uptime, with fraud rates below 0.1%, roughly 10bps of network economics, and near-universal acceptance across 200-plus countries. There is no obvious path to a lower cost base, because at MA's scale the incremental cost of a transaction is close to zero. A new rail does not win by being marginally cheaper to move money. It has to replicate global acceptance, issuer distribution, consumer protections, chargeback rights, and dispute resolution at scale.
  - Stablecoins are, in the end, just a form of deposit account. They may prove a more efficient settlement rail in certain cross-border or institutional flows, but in everyday consumer spend the network brings tokenization, identity, and fraud control that a token does not. We expect MA to sit on top of stablecoin rails as an enablement layer, which makes them more incremental opportunity than threat.
  - Agentic commerce represents an opportunity for MA to expand its TAM. The Street estimates agentic GMV scaling from ~$8bn in 2026 to ~$192bn by 2030, a ~120% CAGR against ~7.5% for e-commerce overall. Every agent-initiated purchase still needs authorization, a verified identity, and a guarantee of settlement, which is exactly what the network sells. MA has already shipped Agent Pay and Agent Suite to authenticate agents and carry the right permissions through the transaction. The first-order effect of AI is more transactions and more complex fraud, both of which are tailwinds to volumes and to value-added services.
- The long-running interchange litigation and periodic noise around Durbin-style caps have hung over the stock for years, creating a regulatory cloud over the multiple.
  - In June a federal judge granted preliminary approval to the merchant interchange settlement, ending a case that dates to 2005. The terms cut average credit interchange by ~10bps for five years, cap standard consumer credit interchange at 1.25% for eight years, and give merchants more room to decline premium cards and to surcharge.
  - Critically, the interchange at risk is the interchange that flows to the issuing banks, not to the networks. MA and Visa earn switching and assessment fees that are structurally separate. The banks absorb the bulk of any reduction, and even if network credit pricing fell by a few bps, it would be less than a 1% hit to revenue. We do not expect any consumer volume to shift off cards given the convenience, security, and cost advantage. A twenty-year overhang is being removed, with the possibility of a litigation reserve release on final judgment.
  - The real regulatory risk worth watching is political, chiefly European efforts to stand up domestic payment schemes, and even there the practical ability to displace MA and Visa is limited for now. Future EU regulation remains a watch item.

Step back from the headlines and what remains is a capital-light compounder at a historically cheap price relative to its own trading history. Revenue is still growing in the low-teens and EPS in the mid-teens, operating margins sit near 57%, and capital intensity runs below 2% of revenue. Value-added services and new flows, the B2B, real-time, open-banking, fraud, and identity businesses, are now a large and ~20%-growing slice of revenue, and they are the part of the model most levered to AI and agentic commerce rather than being threatened by it. Underneath it all the secular cash-to-card conversion runway still has decades to run, with cash and check still a meaningful share of transactions outside the US, none of which has anything to do with AI.

Assuming MA trades for 25-28x our 2028 EPS estimate, the 1.5-year IRR from the current share price of $495 is 21-31% (34-50% total upside). Our Bear Case price target is $424 (MA trades at 16x 2028E), or roughly 14% absolute downside. In the Upside Case, MA re-rates to 31x 2028E, which represents 66% upside and a 40% 1.5-year IRR. Near-term downside can of course exceed 14% if the de-rating runs further, but looking out to 2028 and beyond we expect earnings to keep compounding in the mid-teens, which is what ultimately pays us.

Price Target

		P/E Multiple						
		16.0x	19.0x	22.0x	25.0x	28.0x	31.0x	34.0x
2027E	$22.60	$362	$429	$497	$565	$633	$701	$768
2028E	$26.23	$420	$498	$577	$656	$734	$813	$892

% Change from Current

		P/E Multiple						
		16.0x	19.0x	22.0x	25.0x	28.0x	31.0x	34.0x
2027E	$22.60	-26%	-12%	1%	15%	29%	43%	57%
2028E	$26.23	-14%	2%	18%	34%	50%	66%	82%

IRR

		P/E Multiple							
		16.0x	19.0x	22.0x	25.0x	28.0x	31.0x	34.0x	
2027E	$22.60	-46%	-23%	3%	33%	67%	104%	146%	<<0.5 Year IRR
2028E	$26.23	-10%	1%	12%	21%	31%	40%	49%	<<1.5 Year IRR

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Catalyst

Continued execution and the long-term compounding of the business. Several more quarters of double-digit revenue and mid-teens EPS growth, with the AI and regulatory fears failing to show up anywhere in the numbers, is what forces the multiple back toward its historical range in our view. In the meantime we are paid to wait through ~16% earnings growth and steady buyback.

Messages

No messages